

23STCV16554 23STCV16554

County: los-angeles

Division: Civil Law and Motion

Department: 733

Hearing date: 2026-08-19

Motion: DEFENDANT ART CITY CENTER LLC'S MOTION FOR CONTEMPT ORDER

Source URL:

https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=LAM%2C733%2C08%2F19%2F2026

Source SHA-256: ac2058c8f2bfb6131a20e051810ecf669c8968e0a0af53b80516b5aac05b7c52

Case Number: 23STCV16554 Hearing Date: August 19, 2026 Dept: 733

SUPERIOR COURT OF THE STATE OF CALIFORNIA

FOR THE COUNTY OF LOS ANGELES

FEAR OF

GOD, LLC, a California limited liability company; and FOG ESSENTIALS, LLC, a Delaware limited liability company,

Plaintiffs,

vs.

ART CITY CENTER LLC, a California limited liability company; PHILLIP RUHL, an individual; CBRE BROKERAGE SERVICE, an entity of unknown form and domicile; and DOES 1 - 10, inclusive,

Defendants

AND RELATED CROSS-ACTION.

)

)

)

)

)

)

)

)

)

)

)

CASE

NO.: 23STCV16554

[TENTATIVE] ORDER RE: DEFENDANT

ART CITY CENTER LLC'S MOTION FOR CONTEMPT ORDER

Dept. 733

8:30 a.m.

August 19, 2026

I.

INTRODUCTION

On July 14, 2023,
Plaintiffs Fear of God, LLC and FOG Essentials, LLC (collectively "Plaintiffs"
or "Tenants" or "FOG") filed this action against Defendants Art City Center,
LLC ("Art City" or "Landlord"), Phillip Ruhl ("Ruhl"), and CBRE Brokerage
Service ("CBRE") (collectively "Defendants").

On February 26,
2024, the Court sustained Art City's demurrer to Plaintiffs' First Amended
Complaint with leave to amend.

On March 14, 2024,
Plaintiffs filed a Second Amended Complaint ("2AC").

On July 12, 2024,
Plaintiffs filed a Third Amended Complaint ("3AC").

On August 2, 2024,
Art City filed a cross-complaint ("XC") against FOG, alleging causes of action for (1) Specific Performance and (2) Breach of Contract.

On October 24,
2024, Plaintiffs filed a Fourth Amended Complaint ("4AC") alleging causes of action for (1) Declaratory Relief, (2) Rescission, and (3) Negligent Misrepresentation.

The 4AC alleges the following. Plaintiffs are tenants to a lease (the "Lease") for a commercial property located at 1360 E. 6th Street, Los Angeles (the "Premises"). Prior to the Lease, the Premises was used for many years as a warehouse. However, Defendants marketed the Premises as suitable for conversion to an office space. Plaintiffs' intent and plan, which was communicated to Defendant Art City and its broker, Phillip Ruhl, verbally and in writing, was to create a multi-use space, including a retail showroom, general office, flex office, creative studio, marketing, content production, light manufacturing, light distribution, entertainment and media related space, and its corporate headquarters ("Intended Use").

Of particular concern to Plaintiff during Lease negotiations was the availability of electrical power and its capacity for the Premises such that Plaintiff could properly operate its business in accordance with the Intended Use. Plaintiff was repeatedly assured, both verbally and in writing, by both Defendants and Defendants' Broker that the Premises has "enough power" for the Plaintiffs' Intended Use.

However, after the Lease was executed, Plaintiffs alleges Defendants have failed to provide Plaintiffs with the full power that was promised and that is needed to use the premises for Plaintiffs' Intended Use.

On June 13, 2025,
this Court fully granted Art City's motion for summary judgment and Ruhl and
CBRE's motion for summary judgment as to the 4AC.

On January 12,
2026, the Court fully granted Art City's motion for summary judgment as to the
cross-complaint.

On May 12, 2026,
Art City filed the instant motion for contempt order.

On August 6, 2026,
Plaintiffs filed an opposition.

On August 12,
2026, Art City filed a reply.

II.

LEGAL STANDARD

"The contempt power is a court's
ultimate weapon. [Citation.] In the first case by the California
Supreme Court to consider the contempt power, the Court cautioned that the
power to adjudicate direct contempt is necessarily arbitrary and should be used
with great prudence, the judge bearing in mind that the exercise of that power
is not so much to vindicate the judge's character as to promote the respect due
the administration of the laws. [Citation.] The enforcement of an
order of contempt in this state is not for the vindication of a private right
but is for the maintenance of the dignity and authority of the court, and to
preserve the peace and dignity of the people of the State of
California. [Citation.]" (McCann v. Municipal Court (1990)
221 Cal.App.3d 527, 536-537 (McCann), internal citations and
quotation marks omitted.) "Contempt is generally a summary procedure
designed to protect the dignity of the court in the exercise of its
jurisdiction." (In re Nolan W. (2009) 45 Cal.4th 1217,
1231.)

"When a contempt is committed in
the immediate view and presence of the court, or of the judge at chambers, it
may be punished summarily; for which an order must be made, reciting the facts

as occurring in such immediate view and presence, adjudging that the person proceeded against is thereby guilty of a contempt, and that he or she be punished as therein prescribed.” (Code Civ. Proc., § 1211, subd. (a).) To hold a person in contempt for actions “committed in the immediate view and presence of the court, “[a]ll that is required is that an order be made reciting the facts, adjudging the person guilty, and prescribing the punishment. [Citations.] Despite the power to treat direct contempt summarily, however, it is common practice to defer adjudication of contempt for courtroom misconduct to the conclusion of a pending trial unless prompt punishment is imperative. In such case, due process considerations require notice and a hearing with the opportunity to be heard.” (McCann, *supra*, (1990) 221 Cal.App.3d at p. 538.)

“When the contempt is not committed in the immediate view and presence of the court, or of the judge at chambers, [i.e., “indirect contempt”] an affidavit shall be presented to the court or judge of the facts constituting the contempt, or a statement of the facts by the referees or arbitrators, or other judicial officers.” (Code Civ. Proc., § 1211, subd. (a).) “The facts supporting indirect contempt arise outside the judge’s presence, requiring a more elaborate procedure to notify the person charged and to afford an opportunity to be heard. ... A common example is a party’s disobedience of a judge’s order.” (In re M.R. (2013) 220 Cal.App.4th 49, 57, internal citations and quotation marks omitted; italics in original.) “The affidavit requirement can be satisfied with a declaration under penalty of perjury. [Citation.] The filing of the affidavit (or declaration) is a jurisdictional prerequisite to a contempt proceeding. [Citations.] It is, in effect, a complaint, which frames the issues before the court. [Citations.]. Without an initiating affidavit, a contempt order is void. [Citations.] The facts supporting indirect contempt require a more elaborate procedure to notify the person charged and to afford an opportunity to be heard.” (Cal. Judges Benchbook Civ. Proc. Trial § 17.34, internal citations omitted.)

“If the judge is satisfied with the sufficiency of the affidavit, the next step is for the judge to issue an order to show cause (OSC) re contempt that is directed to the accused, in which the date and time for a hearing are specified. See CCP § 1212; [citation].

As an alternative to an OSC, a warrant of attachment may be issued to bring the person charged to answer, although this is rare. See CCP § 1212. The OSC must be served in the same manner as a summons.” (Cal. Judges Benchbook Civ. Proc. Trial § 17.34, some internal citations omitted.) Importantly, “[d]ue process considerations apply to an indirect contempt proceeding, which is criminal in nature.” (Moore v. Superior Court (2020) 57 Cal.App.5th 441, 456 (Moore).) “The issuance of the order to show cause commences a separate action on the contempt charges. [Citation.] The accused is entitled to a full and fair hearing that satisfies due process. (In re M.R. (2013) 220 Cal.App.4th 49, 58, internal citations omitted.)

“Due process requires notice of the specific charges at issue in the contempt proceeding. [Citation.] The OSC must give the accused notice if there are multiple distinct counts of contempt. [Citation.] The OSC is not required, however, to cite the specific subsection of CCP § 1209(a) that has been violated to pass constitutional muster. [Moore, at p. 457] (individual charged with contempt admitted at contempt trial his understanding of conduct for which he was being held to account and conducted his defense in conformity with that awareness; court rejected his contention that he would have conducted his defense differently if charging documents had been more artfully drawn).” (Cal. Judges Benchbook Civ. Proc. Trial § 17.34, certain internal citations omitted.)

III.

DISCUSSION

Art City moves for an order to hold Plaintiffs in civil contempt of this court on the

grounds that Plaintiffs have refused to fulfill their obligations under the Court’s judgment, entered February 13, 2026, by failing to restore a \$2.5 million line of credit.

On

February 13, 2026, the Court entered a final judgment in favor of Art City and against Plaintiffs. Specifically, Section 4 of the judgment provides:

Pursuant to

Article 21 of the Lease, Cross-Defendants Fear of God, LLC and FOG Essentials, LLC “shall provide [Art City Center LLC] with an unconditional, irrevocable letter of credit (“LC”) in the amount of Two Million Five Hundred Thousand Dollars (\$2,500,000) (the “LC Stated Amount”).” Cross-Defendants Fear of God, LLC and FOG Essentials, LLC shall forthwith reissue, renew, or replace the previously exhausted/closed unconditional irrevocable letter of credit for the benefit of Art City Center LLC pursuant to, and in accordance with, the terms of the Lease (including Article 21) for the LC Stated Amount of Two Million Five Hundred Thousand Dollars (\$2,500,000). Cross-Defendants Fear of God, LLC and FOG Essentials, LLC shall execute all such documents as necessary to comply with this judgment and shall furnish such fully executed documents to Art City Center LLC.

(See Zohar Decl., Ex. 1, Judgment ¶ 4.)

Pursuant

to Code of Civil Procedure section 1209(a)(5): “Disobedience of any lawful judgment, order, or process of the court” is contempt of the court’s authority. As set forth in Section 4 of the judgment, Plaintiffs were “ordered to specifically perform their obligations under Article 21 of the lease” including executing and furnishing Art City with an unconditional, irrevocable letter of credit in the amount of \$2,500,000. Art City contends that Plaintiffs’ failure to comply with this section of the Court’s judgment constitutes disobedience equivalent to contempt of court.

In

opposition, Plaintiffs argue that section 4 of the Judgment at issue is a mandatory injunction, and mandatory injunctions are automatically stayed pending appeal. The Court agrees.

Generally,

“the perfecting of an appeal stays proceedings in the trial court upon the judgment or order appealed from or upon the matters embraced therein or affected thereby, including enforcement of the judgment or order.” (Code Civ. Proc., § 916(a).) This includes mandatory injunction orders: “It is well settled that an injunction mandatory in character is automatically stayed on appeal.” (Steshenko v. Board of Trustees (2025) 112 Cal.App.5th 1300, 1312 (2025); see URS Corp. v. Atkinson/Walsh Joint Venture (2017) 15

Cal.App.5th 872, 884 (2017) [“An appeal stays a mandatory . . . injunction.”].)
“The cases hold that before such orders are executed and the defendant must detrimentally alter its position, the defendant is entitled to know whether the order is correct.” (Daly v. San Bernardino County. Bd. of Supervisors (2025) 11 Cal.5th 1030, 1041.)

An injunction is
mandatory if it “mandates the performance of an affirmative act.” (Daly, supra, 11 Cal.5th at p. 1041.) That is, an injunction is mandatory when it “requires affirmative action and changes the status quo.” (Hayworth v. City of Oakland (1982) 129 Cal.App.3d 723, 727– 28.) “[A]n injunction which compels a party to perform some physical act or surrender property is mandatory.” (Davenport v. Blue Cross (1997) 52 Cal.App.4th 435, 447.) An injunction “is mandatory in effect if its enforcement would be to change the position of the parties and compel them to act in accordance with the judgment rendered.” (URS, supra, 15 Cal.App.5th at p. 884.)

Section 4 of the
Judgment requires “an affirmative act” on the part of Plaintiffs – so that this portion of the Judgement sought to be enforced is a mandatory injunction, which is automatically stayed pending Plaintiffs’ appeal. The letter of credit requirement plainly demands Plaintiffs to take action, specifically to obtain the letter of credit from a non-party bank or financial institution and also provide documentation to Art City. (Garcia v. Google, Inc. (9th Cir.2015) 786 F.3d 733, 740 [“This relief is treated as a mandatory injunction, because it ‘orders a responsible party to “take action.”’ ”].) Requiring Plaintiffs to “reissue, renew, or replace” the letter of credit “goes well beyond simply maintaining the status quo[,]” (Stanley v. Univ. of S. Cal. (9th Cir.1994) 13 F.3d 1313, 1320.)

A mandatory injunction also in effect
is the same thing as specific performance, and vice versa. (See Avalon Pac.-Santa Ana, L.P. v. HD Supply Repair & Remodel, LLC (2011) 192 Cal.App.4th 1183, 1201-1202; Qualcomm Inc. v. Compal Elecs., Inc. (S.D. Cal. 2017) 283 F. Supp. 3d 905, 917 [“If and when this Court holds that the Defendants’ licensing provisions are enforceable, the Court will evaluate whether it is proper to grant permanent injunctive relief, e.g., specific performance, or damages.”] (emphasis added); MAG Aerospace Indus., LLC v. Precise Aerospace Mfg., Inc. (C.D. Cal. July 18, 2018) 2018 WL 6074596, at *2 [granting a motion for a preliminary

mandatory injunction where the requested injunctive relief was specific performance].) Thus, Art City's categorization of section 4 of the Judgment as providing for the fulfillment of a past contractual obligation – to have Plaintiffs' specifically perform its Lease obligations – is unpersuasive and does not alter the fact that the nature of the relief requires Plaintiffs to undergo affirmative action – the heart of what creates a "mandatory injunction."

Art City next argues that section 917.6 governs section 4. Under Section 917.6, an appeal does not automatically stay enforcement if it "directs the performance of two or more of the acts specified in Sections 917.1 through 917.5, unless the appellant complies with the requirements of each applicable section." (Code Civ. Proc., § 917.6.) Art City contends that sections 917.1, 917.2, and 917.3, which provide for exceptions to automatic judgment stays pending appeal, apply. The Court does not agree.

First, section 917.1 applies to "[m]oney or the payment of money." (Code Civ. Proc., § 917.1(a)(1).) Section 4 simply does not require a monetary payment to anyone. It requires Plaintiffs to "reissue, renew, or replace" the letter of credit. This is not a damages award.

Second, section 917.2 applies to a judgment requiring "delivery of personal property, including documents." (In re Marriage of Thompson (1979) 96 Cal.App.3d 621, 625 ["an undertaking is required to stay enforcement of an order which directs the payment of money or the delivery of personal property"].) Section 4 does not demand delivery of any party's personal property.

Third, section 917.3 requires a bond to stay on appeal a judgment that "directs the execution of one or more instruments." Title 9 of the Code of Civil Procedure, which governs the enforcement of judgments, defines "instrument" as it is used in the Commercial Code. (Id. at § 680.220. That is: "a negotiable instrument or any other writing that evidences a right to the payment of a monetary obligation, is not itself a security agreement or lease, and is of a type that in ordinary course of business is transferred by delivery with any necessary indorsement or assignment." (Com. Code § 9102(a)(47).) The statute expressly states: "The term does not include . . . (ii) letters of credit."

Sections 917.1, 917.2, and 917.3 do not apply. The Court otherwise denies Art City's request for the Court to exercise its discretion to require Plaintiffs to post an undertaking under section 917.9, as the stay in place is a mandatory stay. (Code Civ. Proc., § 917.9 [giving courts the discretion to require an undertaking where the "appellant is required to perform an act for respondent's benefit pursuant to judgment or order under appeal."]; Daly, supra, 11 Cal.5th at p. 1039.) ["Where the statutory conditions have been met and a stay on appeal is prescribed, the courts lack discretion to deny it except as other statutes may authorize . . . [but] when the statutes do not call for an automatic stay on appeal, the trial and appellate courts both have the power to issue discretionary stay."].)

IV.

CONCLUSION

Based on the foregoing, Art City's motion for a contempt order is DENIED.

Dated this 19th
day of August 2026

Hon. Gary
D. Roberts

Judge
of the Superior Court